

14. 9:00 AM CASE NUMBER: C26-00467
CASE NAME: PETRO-ANALYTICAL, INC., VS. TANK-TEK ENVIRONMENTAL CORPORATION,
HEARING ON DEMURRER TO: CROSS COMPLAINT
FILED BY: PETRO-ANALYTICAL, INC.,
TENTATIVE RULING:

Before the Court is a demurrer by cross-defendant Petro-Analytical, Inc. to the cross-complaint of Tank-Tek Environmental Corporation. For the reasons set forth, the Court rules on the demurrer as set forth in the conclusion below.

Background

Plaintiff and cross-defendant Petro-Analytical, Inc. ("Petro") filed a complaint against defendant and cross-complainant Tank-Tek Environmental Corporation ("Tank-Tek") for breach of contract and an accounting arising out of a written Gross Profit and Revenue Sharing Agreement. (Compl. ¶ 6.) Petro alleges Tank-Tek agreed to invoice clients referred to Tank-Tek by Petro, collect the invoices, and remit a share of the profits to Petro. (Compl. ¶ 7.) Petro alleges that Tank-Tek owes Petro \$214,088.07 for invoices through December 11, 2025 but claims damages for breach of the agreement estimated to be over \$500,000. (Compl. ¶¶ 10, 20.)

Tank-Tek filed a cross-complaint against Petro, alleging five causes of action. Tank-Tek alleges it had a "long-standing business relationship" with Petro, and that it had an oral contract with Petro to act as Petro's subcontractor for underground storage tank inspection, compliance and repairs. (X-Compl. ¶ 5.) It alleges that within the last two years, there was an accrued amount owing to Tank-Tek of \$407,884.69. (X-Compl. ¶¶ 5, 6, 8, 10, 13.) Tank-Tek alleges a claim for breach of an oral contract (1st C/A), account stated (2nd C/A), open book account (3rd C/A), goods and services rendered (4th C/A), and unjust enrichment (5th C/A).

Legal Standards Governing Demurrer

In ruling on the demurrer, the Court must accept as true all well-pleaded factual allegations of the cross-complaint, but not legal or factual conclusions or contentions of law. (*City of Dinuba v. County of Tulare* (2007) 41 Cal. 4th 859, 865.) The Court gives "the complaint a reasonable interpretation, reading it as a whole and its parts in their context. [Citation omitted.]" (*Evans v. City of Berkeley* (2006) 38 Cal. 4th 1, 6.) In ruling on the demurrer, the Court does not consider evidence outside the pleading, except matters subject to judicial notice. (*Carlson v. County of Alameda* (2015) 242 Cal. App.4th 116, 123; *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.)

In determining whether the complaint states a cause of action, the Court evaluates "whether a cause of action has been stated under any legal theory. [Citation omitted.]" (*Gomez v. Regents of University of California* (2021) 63 Cal.App.5th 386, 391.) (See also *Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 38 ["If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer."].) If there is a reasonable possibility of amendment to cure the deficiencies in a complaint, then leave to amend must be granted. (*Quelimane Co., supra*, 19 Cal.4th at 39.)

Analysis

Petro makes general demurrers to the second, third and fifth causes of action, and special demurrers

for uncertainty to the second and third causes of action.

A. Account Stated (2nd C/A)

Both parties cite *Zinn v. Fred R. Bright Co.* (1969) 271 Cal.App.2d 597 for the elements of an account stated cause of action. "The essential elements of an account stated are: (1) previous transactions between the parties establishing the relationship of debtor and creditor; (2) an agreement between the parties, express or implied, on the amount due from the debtor to the creditor; (3) a promise by the debtor, express or implied, to pay the amount due. [Citations omitted.]" (*Id.* at 600.)

"An account stated is an agreement, based on prior transactions between the parties, that the items of an account are true and that the balance struck is due and owing. [Citation omitted.] To be an account stated, 'it must appear that at the time of the statement an indebtedness from one party to the other existed, that a balance was then struck and agreed to be the correct sum owing from the debtor to the creditor, and that the debtor expressly or impliedly promised to pay to the creditor the amount thus determined to be owing.' [Citation omitted.] The agreement necessary to establish an account stated need not be express and is frequently implied from the circumstances. When a statement is rendered to a debtor and no reply is made in a reasonable time, the law implies an agreement that the account is correct as rendered. [Citation omitted.] [¶] Actions on accounts stated frequently arise from a series of transactions which also constitute an open book account. [Citations omitted.] . . . The acknowledgement of a debt consisting of a single item may form the basis of a stated account. [Citations omitted.] The key element in every context is agreement on the final balance due. [Citation omitted.]" (*Maggio, Inc. v. Neal* (1987) 196 Cal.App.3d 745, 752-753 [emphasis added].) (*See also Trafton v. Youngblood* (1968) 69 Cal.2d 17, 25; *Professional Collection Consultants v. Lauron* (2017) 8 Cal.App.5th 958, 968 [" 'The theory of an account stated is that it becomes a contract between the parties for payment of the amount computed to be due without proof of the specific items included therein.' [Citation omitted.] Accordingly, an action on an account stated is not based on the parties' original transactions, but on the new contract under which the parties have agreed to the balance due. [Citation omitted.]" (Emphasis added.).)

The allegations on which the account stated cause of action are based are that (1) Tank-Tek and Petro had a "long standing" relationship for Tank-Tek to perform subcontractor work (X-Compl. ¶ 5), (2) Tank-Tek was paid directly by Petro for that work (X-Compl. ¶ 6), and (3) the business relationship "has a long history of invoicing and payments" (X-Compl. ¶ 6). The specific allegations in the account stated cause of action are that the parties had an ongoing business relationship in which Tank-Tek acted as a subcontractor and Petro paid for its work, and there is an unpaid amount due of \$407,884.69 for which Tank-Tek has made demand for payment and Petro has not paid. (X-Compl. ¶¶ 16, 17.)

Omitted from the allegations supporting this cause of action are the essential allegations that a balance was struck and an agreement reached between Tank-Tek and Petro on the final balance due. (*Zinn, supra*, 271 Cal.App.2d at 600; *Maggio, Inc., supra*, 196 Cal.App.3d at 752-753; *Trafton, supra*, 69 Cal.2d at 25; *Professional Collection Consultants, supra*, 8 Cal.App.5th at 968.) Tank-Tek does not allege that it rendered a statement of the balance owing to Petro to which Petro agreed, expressly or impliedly, by failing to reply within a reasonable time. (*Id.*)

The general demurrer to the second cause of action for account stated is **SUSTAINED**. The Court need

not reach the special demurrer for uncertainty based on this ruling.

B. Open Book Account (3rd C/A)

"The elements of an open book account cause of action are: '1. That [plaintiff] and [defendant] had financial transactions . . . ; [¶] 2. That [plaintiff] . . . kept [an] account of the debits and credits involved in the transactions; [¶] 3. That [defendant] owes [plaintiff] money on the account; and [¶] 4. The amount of money that [defendant] owes [plaintiff].' [Citation omitted.]" (*State Comp. Ins. Fund v. ReadyLink Healthcare, Inc.* (2020) 50 Cal.App.5th 422, 449.) A "book account" is defined in Code of Civil Procedure section 337a as "a detailed statement which constitutes the principal record of one or more transactions between a debtor and a creditor arising out of a contract or some fiduciary relation, and shows the debits and credits in connection therewith, and against whom and in favor of whom entries are made, is entered in the regular course of business as conducted by such creditor or fiduciary, and is kept in a reasonably permanent form and manner and is (1) in a bound book, or (2) on a sheet or sheets fastened in a book or to backing but detachable therefrom, or (3) on a card or cards of a permanent character, or is kept in any other reasonably permanent form and manner." (Code Civ. Proc. § 337a(a) [emphasis added].)

"A 'book account' is defined as a ' "detailed statement, kept in a book, in the nature of debit and credit, arising out of contract or some fiduciary relation." It is, of course, necessary for the book to show against whom the charges are made. . . . It must also be made to appear in whose favor the charges run.' [Citations omitted.] A book account may furnish the basis for an action on a common count ' " . . . when it contains a statement of the debits and credits of the transactions involved completely enough to supply evidence from which it can be reasonably determined what amount is due to the claimant." ' [Citations omitted.] A book account is described as 'open' when the debtor has made some payment on the account, leaving a balance due. [Citation omitted.]" (*Interstate Group Adm'rs v. Cravens* (1985) 174 Cal. App. 3d 700, 708.)

"Examples of statements held to be book accounts include a law firm's billing statements reflecting work performed on an hourly basis [citation omitted] and a ledger sheet recording amounts due for hay deliveries [citation omitted]. A book account is 'open' where a balance remains due on the account. [Citations omitted.] 'An express contract, which defines the duties and liabilities of the parties, whether it be oral or written, is not, as a rule, an open account.' [Citation omitted.] However, the parties may agree to treat money due under an express contract, such as a lease, as items under an open book account. [Citation omitted.] '[I]n such a case the cause of action is upon the account, not under the [express contract].' [Citation omitted.]" (*Professional Collection Consultants, supra*, 8 Cal.App.5th at 969.)

The allegations supporting this cause of action include the same general allegations of a "long standing" relationship and long history of invoicing. (X-Compl. ¶¶ 5, 6.) Tank-Tek makes the same specific allegations in this cause of action of an ongoing business relationship with Petro for Tank-Tek's work as a subcontractor and Petro paying for the work. (X-Compl. ¶ 19.) Tank-Tek adds that there "remains a book account open" for \$407,884.69 owed and unpaid despite Tank-Tek's demand to Petro.

Tank-Tek has not alleged facts meeting the definition of an open book account under Civil Code section 337a to state the cause of action, including any allegation that Tank-Tek has maintained a "detailed statement" that is the primary record the transactions between the parties showing the

"debits and credits" in regard to their transactions that is kept in a "reasonably permanent form." (Civ. Code § 337a(a).) To the contrary, Tank-Tek's allegations appear to support the inference that Tank-Tek merely issued specific invoices for the work it performed for Petro. (X-Compl. ¶ 6 ["long history of invoicing and payments"].) Tank-Tek has not alleged the essential element of this cause of action that it kept an account of debits and credits involved in the transactions between the parties. (*State Comp. Ins. Fund, supra*, 50 Cal.App.5th at 449.)

The general demurrer to the third cause of action is **SUSTAINED**. The Court need not reach the special demurrer for uncertainty based on this ruling.

C. Unjust Enrichment (5th C/A)

Petro asserts that there is no independent claim for unjust enrichment under California law, but that unjust enrichment is founded on common law principles of restitution that a party should return a benefit received if retention of the benefit would leave the party unjustly enriched. Petro acknowledges the restitution is a remedy typically for a quasi-contract cause of action.

Though Petro argues that Tank-Tek does not plead this cause of action as a quasi-contract claim, Tank-Tek has alleged a quasi-contract claim in its fourth cause of action seeking recovery for the value of goods and services Tank-Tek performed for Petro's clients. (X-Compl. ¶¶ 22-24.) Petro did not demur to that cause of action, and the allegations of that cause of action are expressly incorporated into the fifth cause of action (X-Compl. ¶ 25), providing a foundation for the claim for unjust enrichment/restitution.

The general demurrer to the fifth cause of action is **OVERRULED**.

Conclusion and Ruling

The Court finds that Tank-Tek may be able to amend the second and third causes of action to state those claims. Therefore, the general demurrers to the second and third causes of action are **SUSTAINED, WITH LEAVE TO AMEND**. The general demurrer to the fifth cause of action is **OVERRULED**.

15. 9:00 AM CASE NUMBER: C26-00467
CASE NAME: PETRO-ANALYTICAL, INC., VS. TANK-TEK ENVIRONMENTAL CORPORATION,
***HEARING ON MOTION IN RE: SEVER XC OF TANK-TEK ENVIRONMENTAL CORPORATION**
FILED BY: PETRO-ANALYTICAL, INC.,
TENTATIVE RULING:

Before the Court is a motion by cross-defendant Petro-Analytical, Inc. to sever the cross-complaint of Tank-Tek Environmental Corporation from the complaint. For the reasons set forth, the motion to sever is **DENIED, WITHOUT PREJUDICE** as stated below.

Background

Plaintiff and cross-defendant Petro-Analytical, Inc. ("Petro") filed a complaint against defendant and cross-complainant Tank-Tek Environmental Corporation ("Tank-Tek") for breach of contract and an accounting arising out of a written Gross Profit and Revenue Sharing Agreement. (Compl. ¶ 6.) Petro alleges Tank-Tek agreed to invoice clients referred to Tank-Tek by Petro, collect the invoices, and remit a share of the profits to Petro. (Compl. ¶ 7.) Petro alleges that Tank-Tek owes Petro